

Weibo WB.OQ WB US

EQUITY: MEDIA & INTERNET

Tough ad business outlook

Maintain Neutral; target price cut to USD8.10

1Q26 earnings beat; topline in line

Weibo's (WB) 1Q26 revenue increased 6% y-y in USD terms to USD421mn, in line with both Bloomberg consensus and our estimates (*Fig. 1*). Its non-GAAP operating profit declined 7% y-y to USD120mn, with margin (OPM) down 4.2pp y-y to 28.4%. The OPM was 3.5pp above the Street consensus, due to a significant decline (-75% y-y) in general and administrative expenses on the back of the recovery of a bad debt.

Outlook for ad business worsening

Management sounded positive about securing an ad budget from AI-related sectors. Also, ad spending from the auto sector is set to maintain solid growth in 2Q, as per management, as automakers continue to launch new models despite declining vehicle sales. However, WB has a cautious stance on ads budget from smartphone advertisers due to uncertainty around the rollout schedule for new models owing to pricing pressure. Additionally, ad spending from the online game sector remains weak due to fewer new titles being launched by big game operators. As such, we now forecast WB's revenue to grow 3% y-y in USD terms in FY26F, revised down from 9% y-y growth owing to a weaker retail environment.

FY26E margin likely under pressure on weakening topline and increasing AI investment

WB pointed out that its AI initiative, including AI-powered content creation tools, AI-generated video features and AI-powered search function, are currently in rollout phase. While internal token consumption has seen a marked increase, management indicated that monetization of these AI initiatives remains in the early stage. The additional AI investment, coupled with growing headwinds for the top line, will likely lead to pressure on margins for WB. Thus, we forecast non-GAAP OP to decline 13% y-y in FY26F, alongside a 4.8pp contraction in OPM to 25%.

Maintain Neutral rating, but lower TP to USD8.1

We trim FY26F/FY27F EPS by 16%/11% (*Fig. 3*), as: 1) we lower FY26F/FY27F revenue by 5% each on a weaker retail environment; and 2) higher operating expenses due to AI-related investments. We reaffirm our Neutral rating and lower TP to USD8.1 from USD9.7, based on 6x FY26F P/E (unchanged). WB currently trades at 5.8x FY26F P/E (non-GAAP EPS: USD1.36). We prefer Alibaba (BABA US, Buy) due to its more solid fundamentals and stronger standing in the China AI space versus peers.

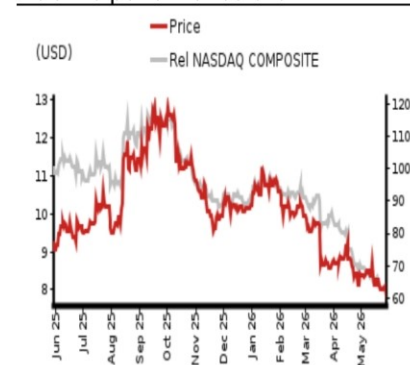
Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (USD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	1,757	1,909	1,812	1,981	1,881	2,055	1,951
Reported net profit (mn)	449	405	300	433	342	471	378
Normalised net profit (mn)	440	439	368	464	409	504	446
FD normalised EPS	1.64	1.61	1.36	1.69	1.50	1.81	1.61
FD norm. EPS growth (%)	-9.2	-1.5	-17.1	4.5	10.1	7.2	8.0
FD normalised P/E (x)	4.8	—	5.8	—	5.2	—	4.9
EV/EBITDA (x)	-0.5	—	-1.1	—	-1.6	—	-1.9
Price/book (x)	0.5	—	0.5	—	0.4	—	0.4
Dividend yield (%)	10.6	—	8.0	—	9.7	—	10.5
ROE (%)	12.1	10.0	7.5	10.0	8.2	10.1	8.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Neutral
Target price Reduced from USD 9.70	USD 8.10
Closing price 28 May 2026	USD 7.84
Implied upside	+3.3%

Market Cap (USD mn)	1,925.1
ADT (USD mn)	10.5

Relative performance chart



Source: LSEG, Nomura

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Key data on Weibo

Performance

(%)	1M	3M	12M		
Absolute (USD)	-3.7	-21.0	-14.8	M cap (USDmn)	1,925.1
Absolute (USD)	-3.7	-21.0	-14.8	Free float (%)	85.0
Rel to NASDAQ	-12.8	-39.8	-55.7	3-mth ADT (USDmn)	10.5
COMPOSITE					

Income statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	1,755	1,757	1,812	1,881	1,951
Cost of goods sold	-370	-422	-511	-521	-521
Gross profit	1,385	1,335	1,301	1,360	1,430
SG&A	-827	-832	-866	-889	-913
Employee share expense	-64	-39	-18	-19	-19
Operating profit	494	465	417	451	498
EBITDA	552	524	437	471	518
Depreciation	-58	-59	-20	-20	-20
Amortisation					
EBIT	494	465	417	451	498
Net interest expense	1	125	20	20	20
Associates & JCEs					
Other income	-75	16	-40	-20	-20
Earnings before tax	421	606	397	451	498
Income tax	-111	-145	-87	-99	-109
Net profit after tax	310	461	310	352	388
Minority interests	-9	-12	-10	-10	-10
Other items	178	-9	68	67	68
Preferred dividends					
Normalised NPAT	479	440	368	409	446
Extraordinary items	-178	9	-68	-67	-68
Reported NPAT	301	449	300	342	378
Dividends	-196	-198	-150	-184	-200
Transfer to reserves	105	251	150	158	178

Valuations and ratios

Reported P/E (x)	6.9	4.7	7.1	6.3	5.7
Normalised P/E (x)	4.3	4.8	5.8	5.2	4.9
FD normalised P/E (x)	4.3	4.8	5.8	5.2	4.9
Dividend yield (%)	10.5	10.6	8.0	9.7	10.5
Price/cashflow (x)	3.2	4.1	4.6	4.7	4.5
Price/book (x)	0.5	0.5	0.5	0.4	0.4
EV/EBITDA (x)	0.2	-0.5	-1.1	-1.6	-1.9
EV/EBIT (x)	0.3	-0.6	-1.2	-1.7	-2.0
Gross margin (%)	78.9	76.0	71.8	72.3	73.3
EBITDA margin (%)	31.5	29.8	24.1	25.1	26.5
EBIT margin (%)	28.2	26.5	23.0	24.0	25.5
Net margin (%)	17.1	25.6	16.5	18.2	19.4
Effective tax rate (%)	26.3	23.9	22.0	22.0	22.0
Dividend payout (%)	65.0	44.1	50.1	53.8	53.0
ROE (%)	8.7	12.1	7.5	8.2	8.7
ROA (pretax %)	—	9.9	8.7	9.4	10.4

Growth (%)

Revenue	-0.3	0.1	3.1	3.8	3.8
EBITDA	4.0	-5.2	-16.6	7.9	9.8
Normalised EPS	-3.9	-9.2	-17.1	10.1	8.0
Normalised FDEPS	-3.9	-9.2	-17.1	10.1	8.0

Source: Company data, Nomura estimates

Cashflow statement (USDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	552	524	437	471	518
Change in working capital	-684	57	114	60	56
Other operating cashflow	772	-62	-87	-79	-88
Cashflow from operations	640	519	463	453	485
Capital expenditure	-61	-42	-44	-42	-39
Free cashflow	578	477	420	411	446
Reduction in investments	80	0	0	0	0
Net acquisitions	-5	0	0	0	0
Dec in other LT assets	0	-167	0	0	0
Inc in other LT liabilities	0	70	0	0	0
Adjustments	-180	126	0	0	0
CF after investing acts	393	586	420	411	446
Cash dividends	-194	-196	-198	-150	-184
Equity issue	0	1	0	0	0
Debt issue	-800	0	0	0	0
Convertible debt issue	-2	0	0	0	0
Others	-91	17	0	0	0
CF from financial acts	-1,087	-178	-198	-150	-184
Net cashflow	-694	408	221	261	262
Beginning cash	2,585	1,891	2,299	2,520	2,781
Ending cash	1,891	2,299	2,520	2,781	3,043
Ending net debt	-1,891	-2,299	-2,520	-2,781	-3,043

Balance sheet (USDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,891	2,299	2,520	2,781	3,043
Marketable securities	460	106	106	106	106
Accounts receivable	340	400	398	397	396
Inventories	0	0	0	0	0
Other current assets	802	771	757	743	728
Total current assets	3,492	3,577	3,781	4,028	4,274
LT investments	1,389	1,663	1,663	1,663	1,663
Fixed assets	215	282	306	328	347
Goodwill	0	0	0	0	0
Other intangible assets	272	266	266	266	266
Other LT assets	1,136	1,303	1,303	1,303	1,303
Total assets	6,504	7,091	7,319	7,588	7,853
Short-term debt	0	0	0	0	0
Accounts payable	158	249	269	275	280
Other current liabilities	810	807	884	923	957
Total current liabilities	968	1,056	1,153	1,198	1,237
Long-term debt	0	0	0	0	0
Convertible debt					
Other LT liabilities	1,957	2,028	2,028	2,028	2,028
Total liabilities	2,926	3,084	3,180	3,226	3,265
Minority interest	96	87	97	107	117
Preferred stock					
Common stock	1,505	1,552	1,572	1,592	1,614
Retained earnings	2,294	2,547	2,649	2,841	3,035
Proposed dividends	0	0	0	0	0
Other equity and reserves	-316	-178	-178	-178	-178
Total shareholders' equity	3,483	3,921	4,042	4,255	4,471
Total equity & liabilities	6,504	7,091	7,319	7,588	7,853

Liquidity (x)

Current ratio	3.61	3.39	3.28	3.36	3.45
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (USD)	1.13	1.67	1.11	1.25	1.37
Norm EPS (USD)	1.80	1.64	1.36	1.50	1.61
FD norm EPS (USD)	1.80	1.64	1.36	1.50	1.61
BVPS (USD)	14.68	16.42	16.82	17.60	18.38
DPS (USD)	0.82	0.83	0.62	0.76	0.82

Activity (days)

Days receivable	81.4	76.9	80.4	77.2	74.4
Days inventory	0.5	0.0	0.0	0.0	0.0
Days payable	158.4	176.3	184.9	190.6	195.0
Cash cycle	-76.5	-99.4	-104.5	-113.4	-120.6

Source: Company data, Nomura estimates

Company profile

Weibo is a leading social media platform in China, enabling users to create, distribute and discover content. Weibo provides advertising and marketing service to customers seeking to promote their brands, products and services to users.

Valuation Methodology

We use P/E as our primary valuation methodology to derive our TP of USD8.1, based on 6x FY26F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price

An upside risk is faster-than-expected ads business recovery. Downside risks include: 1) tightening regulations on user-generated content (UGC), such as stricter censorship in place, which may make Weibo less appealing to users; and 2) fierce competition from other social network platforms.

ESG

Weibo's business is environmental friendly as it does not cause pollution or generate greenhouse gas. It has become a key platform for users to share and track major news.

Fig. 1: Weibo: 1Q26 results review

1Q26 results review									
USDmn	1Q26	4Q25	1Q25	YoY	QoQ	Cons.	vs. Cons.	NMR E.	vs. NMR
Revenues	421	473	397	6%	-11%	418	1%	421	0%
Gross profit	304	350	308	-1%	-13%	311	-3%	312	-3%
Gross margin	72.1%	73.9%	77.6%	-5.6ppt	-1.9ppt	74.6%	-2.5ppt	74.1%	-2.1ppt
Non-GAAP op	120	100	129	-7%	19%	104	15%	100	19%
Non-GAAP op margin	28.4%	21.2%	32.6%	-4.2ppt	7.2ppt	24.9%	3.5ppt	23.9%	4.6ppt
Non-GAAP net profit	92	66	120	-23%	38%	89	3%	82	13%
Non-GAAP net margin	21.8%	14.0%	30.1%	-8.3ppt	7.8ppt	21.3%	0.5ppt	19.4%	2.4ppt
Non-GAAP EPS (USD)	0.34	0.25	0.45	-24%	36%	0.36	-7%	0.30	12%

Sources: Company data, Bloomberg Finance L.P. consensus, Nomura estimates

Fig. 2: Weibo: Revenue mix

Revenue mix								
USDmn	1Q26	4Q25	1Q25	YoY	QoQ	NMR E.	vs NMR E.	
Revenue								
Advertising and marketing	370	404	339	9%	-8%	361	2%	
incl. KA and SME	327	354	296	10%	-8%	317	3%	
Alibaba	43	50	43	2%	-13%	44	-1%	
Weibo VAS	52	69	58	-11%	-26%	59	-13%	
Total net revenue	421	473	397	6%	-11%	421	0%	

Sources: Company data, Nomura estimates

Fig. 3: Weibo – Revisions to our earnings estimates

NMR estimates: New vs Old						
(USDmn)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenues	1,812	1,909	-5%	1,881	1,981	-5%
Gross profit	1,301	1,418	-8%	1,360	1,481	-8%
Gross margin	71.8%	74.3%	-2.5ppt	72.3%	74.8%	-2.5ppt
Non-GAAP op	454	496	-9%	489	534	-8%
Non-GAAP op margin	25.0%	26.0%	-1.0ppt	26.0%	27.0%	-1.0ppt
Non-GAAP net profit	368	439	-16%	409	464	-12%
Non-GAAP net margin	20.3%	23.0%	-2.7ppt	21.8%	23.4%	-1.7ppt
Non-GAAP EPS (USD)	1.36	1.61	-16%	1.50	1.69	-11%

Sources: Nomura estimates

Valuation methodology and risks

We maintain our Neutral rating and lower TP to USD8.1 from USD9.7, based on 6x FY26F P/E (unchanged).

An upside risk is faster-than-expected ad business recovery. **Downside risks include:**

(1) tightening regulations around user-generated content (UGC), such as stricter censorship, which may make Weibo less appealing to users; and (2) fierce competition from other social networking platforms.

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Alibaba Group Holding	BABA US	USD 126.16	28-May-2026	Buy	N/A	A10
Weibo	WB US	USD 7.84	28-May-2026	Neutral	N/A	A6

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

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Alibaba Group Holding (BABA US)

USD 126.16 (28-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Alibaba Group Holding



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Alibaba's China Ecommerce Group at USD89bn, based on 5x FY27F P/E; its AliCloud business at USD339bn, based on 7x FY28F P/S; and its net valuation of non-core assets (including international ecommerce business) at USD40bn. The resulting TP is USD207. The benchmark index for this stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: margin downside due to ramp-up in investments; regulatory risks related to the payment and internet finance industry, which could hurt Alibaba's main business and its value in Ant Group.

Weibo (WB US)

USD 7.84 (28-May-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use P/E as our primary valuation methodology to derive our TP of USD8.1, based on 6x FY26F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price An upside risk is faster-than-expected ads business recovery. Downside risks include: 1) tightening regulations on user-generated content (UGC), such as stricter censorship in place, which may make Weibo less appealing to users; and 2) fierce competition from other social network platforms.

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As at 31 March 2026.

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